March 10, 2003

Dear Shareholder:

We are pleased to invite you to attend the Annual and Special Meeting of the Shareholders of Canada Bread Company, Limited to be held at the Glenn Gould Studio, Canadian Broadcasting Centre, 250 Front Street, West, Toronto, Ontario at 10:00 a.m. on May 1, 2003. The items of business you will be asked to act on are set forth in the accompanying Notice of Annual and Special Meeting and Management Information Circular. As well, a copy of the Annual Report, which includes the financial statements for 2002 is enclosed.

Our message this year is "Delivering Results". In 2002 Canada Bread Company, Limited had continued strong financial performance and repositioned for success with a new organizational structure and strategic acquisitions to establish itself as a global bakery with leading brands and significant market share across Fresh and Frozen Par-Baked product lines. We begin 2003 with high-quality bakery assets in North America and the U.K., brand leadership, financial strength and an exceptional team. Canada Bread has the recipe for success. We invite you to read about our achievements in 2002 in the Annual Report.

We encourage you to ensure that your shares are represented at the meeting whether or not you are able to attend. Your vote is important. If you do not plan to be present, we would appreciate you taking the time now to sign, date and return the enclosed proxy form in the enclosed envelope so that your shares can be voted at the meeting in accordance with your instructions.

Proxies will be counted and tabulated by Computershare Trust Company of Canada, the transfer agent of Canada Bread Company, Limited.

We thank you for your continuing support of the Company as a shareholder.

Yours very truly,

MICHAEL H. MCCAIN
Chairman of the Board

RICHARD A. LAN
President & Chief Executive Officer

Encl:

CANADA BREAD COMPANY, LIMITED

NOTICE OF ANNUAL AND SPECIAL MEETING OF SHAREHOLDERS

TAKE NOTICE that the Annual and Special Meeting of the shareholders (the "Meeting") of Canada Bread Company, Limited (the "Corporation") will be held at the Glenn Gould Studio, Canadian Broadcasting Centre, 250 Front Street West, Toronto, Ontario on the 1st day of May 2003 at 10:00 a.m. (Toronto time) for the following purposes:

(a) Receiving and considering the Annual Report containing the consolidated financial statements for the year ended December 31, 2002, together with the auditors' report thereon;

(b) Electing directors;

(c) Considering and if thought advisable approving a Resolution in the accompanying Management Information Circular and Schedule "A" confirming the repeal of all former by-laws of the Corporation and the substitution by the new By-law Number 67;

(d) Appointing auditors and authorizing the directors to fix their remuneration; and

(e) To transact such other business as may properly come before the Meeting or any adjournment or adjournments thereof.

The accompanying Management Information Circular dated March 10, 2003 provides additional information concerning the matters to be dealt with at the Meeting. As a substantial representation of the holders of common shares is required, if you are not able to be present personally, kindly date, sign and return the form of proxy accompanying this Notice in the envelope provided for that purpose.

DATED at Toronto this 10th day of March, 2003.

By Order of the Board.



R. Cappuccitti
Secretary

Notes:

(1) Holders of common shares registered on the books of thc Corporation at the close of business on March 27, 2003 are entitled to notice of the Meeting.

(2) The directors have fixed the close of business on March 27, 2003 as the record date for the determination of the shareholders of the Corporation entitled to notice of and to vote at the Meeting and only persons who are registered as holders of common shares on the books of the Corporation at the close of business on March 27, 2003 or persons who are transferees of common shares acquired after March 27, 2003 and who produce properly endorsed certificates for such common shares or otherwise establish ownership thereof and demand, not later than ten (10) days before the Meeting, that the Secretary of the Corporation include their names in the list of shareholders, are entitled to vote at the Meeting.

(3) The directors have fixed the hour of 4:30 p.m. on the last business day preceding the day of the Meeting or any adjournment thereof, before which time the instrument of proxy to be used at the Meeting must be deposited with the Secretary of the Corporation, c/o Computershare Trust Company of Canada, 100 University Avenue, 9th Floor, Toronto, Ontario, M5J 2YI, provided that a proxy may be delivered to the Chairman of the Meeting on the day of the Meeting or any adjournment thereof prior to the time for voting.

CANADA BREAD COMPANY, LIMITED
MANAGEMENT INFORMATION CIRCULAR

VOTING INFORMATION

SOLICITATION OF PROXIES

This Management Information Circular is furnished in connection with the solicitation by management of Canada Bread Company, Limited (the "Corporation") of proxies to be used at the Annual and Special Meeting of shareholders of the Corporation (the "Meeting") to be held at the Glenn Gould Studio, Canadian Broadcasting Centre, 250 Front Street West, Toronto, Ontario, on Thursday May 1, 2003, at 10:00 a.m. for the purposes set forth in the attached Notice of the Meeting. It is expected that the solicitation will be primarily by mail but may also be solicited personally by officers of the Corporation at nominal cost. The cost of solicitation by management will be borne by the Corporation.

APPOINTMENT AND REVOCATION OF PROXIES

The persons named in the enclosed form of proxy are directors of the Corporation. **A shareholder desiring to appoint some other person, who need not be a shareholder of the Corporation, to represent the shareholder at the meeting may do so** either by inserting such person's name in the blank space provided in the form of proxy or by completing another proper form of proxy and, in either case, delivering the completed proxy to the Secretary of the Corporation, c/o Computershare Trust Company of Canada, 100 University Avenue, 9th Floor, Toronto, Ontario, M5J 2Y1, for receipt on or before 4:30 p.m. the last business day preceding the day of the Meeting or any adjournment thereof at which the proxy is to be used, or delivering it to the Chairman of the Meeting on the day of the Meeting or any adjournment thereof prior to the time of voting. A proxy should be executed by the shareholder or his attorney duly authorized in writing or, if the shareholder is a corporation, by an officer or attorney thereof duly authorized.

In addition to any other manner permitted by law, a proxy may be revoked before it is exercised by instrument in writing executed in the same manner as a proxy and deposited with the Secretary of the Corporation at the address shown above at any time up to and including the last business day preceding the day of the Meeting or any adjournment thereof at which the proxy is to be used or with the Chairman of the Meeting on the day of such Meeting or any adjournment thereof and upon either of such deposits the proxy is revoked.

VOTING OF PROXIES

A proxy in the form enclosed with the Notice of Meeting confers discretionary authority with respect to amendments or variations to the matters identified in the Notice of Meeting or other matters that may properly come before the meeting. Management of the Corporation is not aware of any amendments, variations or other matters that are to be presented for action at the meeting.

Shares represented by properly executed proxies in favour of the persons whose names are printed therein will be voted for or against or withheld from voting in accordance with the choices specified in the proxy on any ballot that may be called for but, if no choice is specified, such shares will be voted:

(i) for the election of directors;
(ii) for the appointment of auditors;
(iii) for the approval of a resolution confirming the repeal and substitution of the former by-laws with the new by-law; and
(iv) for or against such actions as the nominee thinks fit with respect to any other matter that may properly come before the meeting, including any amendments or variations in the matters identified in the Notice of Meeting.

VOTING SECURITIES AND PRINCIPAL HOLDERS THEREOF

As at March 10, 2003 the Corporation had 25,416,812 Common Shares outstanding carrying the right to one vote per share. To the best of the knowledge of the directors and officers of the Corporation, the only person who beneficially owns directly or indirectly or exercises control or direction over more than ten percent (10%) of the votes attaching to the Common Shares is Maple Leaf Foods Inc. ("Maple Leaf Foods") which holds 18,633,315 common shares representing approximately 73% of the issued and outstanding Common Shares. The registered office of Maple Leaf Foods is Suite 1500, 30 St. Clair Avenue West, Toronto, Ontario M4V 3A2.

The directors have fixed the close of business on March 27, 2003 as the record date for the purposes of determining shareholders entitled to receive notice of and to vote at the Meeting. Accordingly, only persons who are holders of Common Shares of record at the close of business on March 27, 2003 , or persons who are transferees of Common Shares acquired after March 27, 2003 and who produce properly endorsed certificates for such Common Shares or otherwise establish ownership thereof and demand, not later than ten (10) days before the Meeting, that the Secretary of the Corporation include their names in the list of shareholders, are entitled to vote at the Meeting.

BUSINESS OF MEETING

ELECTION OF DIRECTORS

The table below sets out the names of the persons proposed to be nominated for election as directors of the Corporation to serve until the next Annual Meeting of Shareholders of the Corporation or until their successors are duly elected or appointed, unless any such person is not available to act as a director, in which event a substitute may be nominated. **The persons named in the enclosed form of proxy (unless otherwise instructed) intend to vote for the election of the nominees whose names are set forth below.**

Nominee	Director Since	Principal Occupation	Common Shares Owned, Held or Controlled [1]	
			of the Corporation	of Maple Leaf Foods
John L. Bragg[3][4]	1995	President, Oxford Frozen Foods Limited *(food manufacturing)*	9,540	
Sarah A. Everett[3][4]	1995	Chairman, Tereve Holdings Ltd. *(Bowring chain of retail stores)*	1,200	
Richard A. Lan	1995	President and Chief Executive Officer of the Corporation (since April 30, 2002) and President and COO, Bakery Products Group, Maple Leaf Foods Inc.	5,000	92,840[2]
Charles J. Mayer[3]	1997	President, Forest Hills Ranch Ltd. *(mixed farming)*	2,100	
J. Scott McCain	1995	President and Chief Operating Officer, Agribusiness Group, Maple Leaf Foods Inc.		70,000[2]
G. Wallace F. McCain	1995	Chairman of the Board, Maple Leaf Foods Inc.		165,000[2]
Michael H. McCain	1995	President and Chief Executive Officer, Maple Leaf Foods Inc.		120,000[2]
Thomas P. Muir	1995	Chief Financial Officer, Maple Leaf Foods Inc.		150,000
John F. Petch[4]	1995	Vice-Chairman and Senior Partner, Osler, Hoskin & Harcourt LLP *(barristers and solicitors)*	4,000	

(1) As of March 10, 2003, the nominees for directors listed above beneficially owned, directly or indirectly, or exercised control or direction over the number of common shares of the Corporation indicated in the table above. The information as to shares beneficially owned, not being within the knowledge of the Corporation, has been furnished by the respective directors individually.

(2) Maple Leaf Foods holds approximately 73% of the shares of Canada Bread Company, Limited. McCain Capital Corporation is the owner of 36,363,514 voting common shares of Maple Leaf Foods representing approximately 32.5% of all issued and outstanding shares (40% of voting shares) of Maple Leaf Foods. The majority of the shares of McCain Capital Corporation are owned by members of the G. Wallace F. McCain family including G.W.F. McCain, M.H. McCain and J. Scott McCain. Mr. R.A. Lan is also a shareholder of McCain Capital Corporation (reference is made to the heading "Voting Securities and Principal Holders Thereof").

(3) Members of the Audit Committee are Messrs. J.L. Bragg (Chairman), C.J. Mayer and Ms. S.A. Everett, who are appointed annually.

(4) Members of the Human Resources and Corporate Governance Committee are Messrs. J.F. Petch (Chairman), J.L. Bragg and Ms. S.A. Everett, who are appointed annually.

REPEAL AND APPROVAL OF BY-LAWS

The last substantive review and modification of the Corporation's By-laws, was made in 1984 following an extensive amendment of the *Ontario Business Corporations Act* (the "Act"). There have been numerous changes to the Act since that time. In 2002, the Human Resources and Corporate Governance Committee concluded that it would be prudent that the by-laws be completely reviewed and modernized. The Committee conducted the review and supervised the preparation of an amended draft by-laws of the Corporation. Accordingly, on February 19th, 2003 the Board of Directors, on the advice of the Human Resources and Corporate Governance Committee and subject to approval by shareholders at the annual meeting called for May 1, 2003, repealed and substituted the former by-laws with the new by-law (the "By-law") reproduced in the attached Schedule "A".

Resolution

To confirm this change to the by-laws, the shareholders are being asked to consider and, if thought advisable, to pass a resolution (the "Resolution") set out below. In accordance with Section 116 of the *Ontario Business Corporations Act* and the Articles of the Corporation, the revised by-law will be effective upon confirmation by the shareholders.

> **RESOLVED THAT the repeal of the former by-laws of the Corporation and its substitution by the new By-Law Number 67 as set out in the attached Schedule "A" be and is hereby confirmed.**

To be effective, this resolution must be passed by a two-thirds (2/3rds) majority of the votes cast at the meeting. Unless otherwise indicated, proxies in the enclosed form will be voted for the approval of the resolution on any ballot requested or required by law.

A full copy of the repealed by-law is available from the Secretary at the address at the end of this circular under the heading "Additional Information".

Substantive Changes to By-laws Affecting Shareholders

The substantive differences between the current by-laws and the repealed by-law that address the relationship between the Corporation and shareholders are described below.

SECTION	DESCRIPTION OF CHANGE
	Information Available to Shareholders Section 2.05 of the existing by-laws attempted to circumscribe the information available to shareholders. Shareholder rights to information specified in the Act may not be reduced by way of a corporate by-law.
	Tenure of Salaried Officers who are Directors Section 4.02 of the existing by-law currently provides that an officer who is also a director will cease to be a director if he or she ceases to be employed as an officer by the Company. As this provision might put the tenure of certain directors within the control of the CEO it was viewed to be inconsistent with the concept of an independent Board.
3.1	*Financial Assistance* The existing by-law does not allow the Corporation to provide financial assistance when it would be in the Corporation's business to do so.
4.3	*Telephone and electronic meetings* The provision authorizes the convening of and participation in directors' meetings by telephone, electronic or other communication facility.
4.8 and 8.12	*No Casting Vote for Chairman* As a matter of shareholder and director equality, the right to a casting vote available to the chairman of a shareholders' or directors' meeting in the event of a tie under the repealed by-law was abolished.
5.2	*Committees* The quorum for a meeting of a committee of the Board is established to be not less than a majority of its members and the by-law sets no restrictions on the number of members.
8.5 and 8.11	*Electronic Voting and Participation at Shareholders' Meetings* The Act allows shareholder participation at meetings and voting by electronic means. The change to the by-laws will authorize the Corporation to allow electronic participation and voting where it makes the facilities available. The Corporation will continue to monitor technology for this purpose as it develops, and will consider making the necessary facilities available when they prove to be cost effective and of benefit to a sizable number of shareholders.

SECTION	DESCRIPTION OF CHANGE
8.8	*Quorum for Shareholders' Meetings* Under the existing by-laws, a quorum for a meeting of shareholders is at least one-quarter (25%) of the shares entitled to vote. The Board considers this number to be insufficient and accordingly has increased the quorum requirement for a meeting of shareholders to be validly constituted to be shareholders holding one-third of the shares entitled to vote at that meeting.
9.3	*Registered Owner of Shares* The substituted by-law allows the Corporation to treat the registered owner of shares as the person entitled to vote and exercise the rights of share ownership. This prevents the Corporation from becoming involved in disputes regarding the right to vote securities between multiple parties claiming to be the beneficial owners.
10.3	*Dividend Payments* Unlike the existing by-laws which require cash dividends be paid by cheque, the new by-law allows other forms of payment including wire transfers.
10.4	*Unclaimed Dividends* Unclaimed dividends are currently held by the transfer agent indefinitely for the benefit of the shareholders who have not cashed cheques or notified the transfer agent of a change of address. The substituted by-law will entitle the Corporation to reclaim any dividends that remain unclaimed after six years.

APPOINTMENT OF AUDITORS

Unless otherwise directed, proxies in the enclosed form will be voted to appoint KPMG LLP, Chartered Accountants, Toronto, as auditors of the Corporation to hold office until the next annual meeting of shareholders of the Corporation and to authorize the directors to fix their remuneration.

Fees for the 2002 annual financial statement audit were $240,000 and for audit related services were $328,025. Audit related services consisted primarily of audit procedures related to business acquisition transactions and audits of financial statements of employee benefit plans. No financial information systems design or implementation services were provided by the auditors. Fees for non-audit services were $32,865 consisting primarily of tax advisory and compliance services.

DIRECTOR AND EXECUTIVE COMPENSATION

COMPENSATION OF DIRECTORS

Directors of the Corporation received remuneration for their services during the 2002 financial year in an aggregate amount of $164,550. Each outside director received a retainer of $18,000 per annum and fees of $750 per Board Meeting attended and $300 for participating in each Board teleconference meeting. Directors serving on the Audit and Human Resources and Corporate Governance Committees received a retainer of $1,000 per annum (the Chair of each Committee received $1,500). Committee members also received $750 for each Committee meeting attended and $300 for participating in each Committee Teleconference Meeting. The Human Resources and Corporate Governance Committee has recommended that a portion of the annual retainer be used to purchase common shares of the Corporation. Directors who are officers of the Corporation or any subsidiary company, or of Maple Leaf Foods do not receive fees. Directors are also reimbursed for travel and other out-of-pocket expenses incurred in attending Board or Committee meetings.

On July 24, 2002, a Special Committee of independent directors, consisting of John L. Bragg as Chairman together with Sarah A. Everett and Charles J. Mayer, was appointed to evaluate the potential acquisition of Maple Leaf Foods' non-Canadian bakery operations. The Committee's work was completed in December 2002. In January 2003, the Board approved an all inclusive fee for service on the Committee of $15,000 for each member and $20,000 for the Chairman. A description of the Committee's work is found under the heading Special Committee on page 13.

REPORT ON EXECUTIVE COMPENSATION

The Human Resources and Corporate Governance Committee ("Committee") is composed of three Directors all of whom are independent. Since December 1995, the Committee has consisted of John F. Petch (Chairman), John L. Bragg and Sarah A. Everett. It is the responsibility of the Committee to determine and approve, and to monitor and modify as required, the design and administration of compensation policies and practices generally of the Corporation and specifically, compensation policies and practices with respect to senior management (including executive officers) of the Corporation. The Committee meets at least four times per year and as required at the call of the Chairman of the Committee. The Committee reports to the Board on its proceedings.

Executive Compensation Strategy and Competitive Positioning

The objective of the Committee is to provide for a comprehensive compensation strategy that achieves the following results:

1. To attract and retain individuals of superior talent and skill by offering competitive salaries, taking into account the knowledge, skills and experience of individual executives, and the demands and responsibilities of their positions.
2. To motivate superior individual and group performance by including a component of incentive/variable pay compensation which rewards the achievement of financial performance as determined by the Board.
3. To link individual and group performance with shareholder interests and retain top performing, high potential executives through the prudent use of equity-based compensation.
4. To encourage retention of key performers for the succession of management of the Corporation.

In arriving at its determination, the Committee has historically utilized formal compensation design and practice assessments and advice from independent sources as well as human resource management specialists within the Corporation. In addition, the Corporation familiarizes itself with the compensation practices of Maple Leaf Foods.

The compensation decisions made by the Committee seek to balance internal compensation equity for employees with external measurements for competitive practices within Canadian food and consumer products companies and autonomous Canadian and subsidiary companies of comparable size. In addition to internal and external analyses of compensation levels and programs, the Committee considers in the design of each segment of compensation, the long-term interest of the Corporation and its shareholders, and specifically, financial measures such as earnings before tax. To this end, the Corporation includes incentive/variable pay components within the design of the Corporation's total compensation program for employees. Recommendations on compensation matters, other than matters directly affecting him, are made to the Committee by the Chief Executive Officer.

The total compensation program for executive officers consists of three components: a base salary, an annual bonus, and a long-term incentive component. In establishing base salaries and salary ranges, the objective of the Committee is to establish levels which are competitive with the comparator groups mentioned above. With respect to the President and CEO, comparisons were made to similar positions in a grouping of autonomous and subsidiary companies of a size comparable to the Corporation, given the more particular responsibilities of these executives in a publicly-traded company. The comparator group used for other executives was a select grouping of Canadian food and consumer products companies. Individual levels, which are established annually, are determined in accordance with the performance of the individual over the preceding performance review period and superior individual performance will be recognized by the Committee.

In establishing annual bonus compensation, the Committee establishes threshold earnings of the Corporation to be achieved the following year. This ensures that shareholders receive an adequate level of performance before executives are rewarded. Specific awards to each executive are then allocated to reflect business performance. Executives employed by the Corporation during only part of the financial year may be entitled to participate in incentive compensation programs in that year, but only on a pre-negotiated basis.

In determining the compensation of Mr. Dickhout, the CEO of the Corporation up to April 30th, substantially similar criteria as mentioned previously were used. Apart from a comparative analysis of the CEO's position with similar positions in autonomous and subsidiary companies of similar size, the Committee took into account the growth of the Corporation and its financial results during the period.

Mr. Lan is the President and Chief Operating Officer of Maple Leaf Foods Bakery Group which encompassed Maple Leaf Foods' 68% interest in the Corporation (now 73%) as well as Maple Leaf Foods bakery assets and operations in the U.S. and U.K. Prior to April 30th, 2002 Mr. Lan was Chairman of the Corporation. On April 30th, Mr. Lan resigned as Chairman and was appointed President and CEO of the Corporation while retaining his position as President and Chief Operating Officer of Maple Leaf Foods Bakery Group. Mr. Lan's compensation, as established by Maple Leaf Foods, was not changed at the time of his appointment as CEO of Canada Bread and continued to be paid by Maple Leaf Foods' non-Canadian bakery operations. However, pursuant to a cost sharing agreement with Maple Leaf Foods, the Corporation had assumed 50% of the cost of Mr. Lan's compensation. Effective December 27th, 2002, with the acquisition of Maple Leaf Foods' non-Canadian bakery operations, the Corporation assumed the full cost of Mr. Lan's compensation. Changes to Mr. Lan's compensation in the future will be under the direction of the Committee.

Options of Maple Leaf Foods have been granted to executives from time to time, based on recommendations by senior management and the Committee as a tool to motivate executives to enhance the value of the Corporation.

The Corporation provides perquisites and benefits, in kind, on a standardized basis for executives. The benefits are selected on the basis of cost effectiveness and are intended to be competitive with those provided by companies of comparable size.

This report is presented by the Human Resources and Corporate Governance Committee whose members are :

J.F. Petch – Chairman
J. L. Bragg
S.A. Everett

SUMMARY COMPENSATION TABLE

The following tables provide a summary of compensation earned during each of the last three fiscal years by the Corporation's Chief Executive Officer and the four most highly compensated executive officers other than the Chief Executive Officer for the year ended. The Chief Executive Officer and other executive officers are referred to collectively as the "Named Executive Officers". In this report, an "executive" or "executive officer" means the Chairman of the Board, the President, the Chief Executive Officer, or Vice-President in charge of a principal business unit, division or function of the Corporation, and any other officers of the Corporation or any subsidiary performing a policy-making function in respect to the Corporation. Specific aspects of the compensation policies and practices of the Corporation are dealt with in further detail in the following tables and subsequent report of the Human Resources and Corporate Governance Committee.

		Annual Compensation			Long-Term Compensation		
					Awards	Payouts	
Name and Principal Position with Corporation at December 31, 2002	Year	Salary[1] ($)	Bonus[3] ($)	Other Annual Compensation[2] ($)	Securities Under Option Granted (#)	All Other LTIP Payouts ($)	All Other Compensation ($)
R.A. LAN[4] President and Chief Executive Officer (from April 30, 2002)	2002 2001 2000	$US 431,538 $US 396,860 $US 330,000	$US 338,756 $US 225,645 $US 0	$US 8,000 $US 10,500 $US 10,500	80,000 210,000 100,000		
R.M. DICKHOUT President and Chief Executive Officer (to April 30, 2002)	2002 2001 2000	140,192 396,923 370,002	0 278,316 334,184		0 77,000 70,000		1,748,884[8]
DOUGLAS J. MACFARLANE[10] President, Canada Bread Frozen Bakery	2002 2001 2000	261,250 208,269 189,807	193,565 108,790 130,340		45,000 22,000 25,000		
C. BARRY MCLEAN[6] President, Canada Bread Fresh Bakery	2002 2001 2000	315,385 230,000 35,385	224,864 116,380		100,000 15,000 25,000		72,606[12] 69,167[7]
RÉAL MÉNARD[11] Sr. Vice-President and General Manager Multi-Marques Inc.	2002 2001 2000	218,173 44,291	132,975 75,598		15,000 10,000		
CARL T. SPARKES Sr. Vice-President and General Manager Fresh Bakeries Atlantic	2002 2001 2000	222,308 212,038 203,923	126,788 108,790 139,944		40,000 15,000 15,000		50,000[4] 17,589[5]

Notes:

(1) Salary figures represent actual monies paid by the Corporation and its subsidiaries during the year for services rendered to the Corporation and its subsidiaries.

(2) The value of perquisites and benefits for each Named Executive Officer is less than the lesser of $50,000 and 10% of total annual salary and bonus.

(3) Bonuses shown for 2002 are those applicable to 2002 under the Corporation's Rewards for Excellence bonus plan. They have been calculated based on 2002 salaries and corporate performance, and were paid in 2003.

(4) Represents a new one time relocation supplement for Mr. Sparkes.

(5) Represents a declining relocation supplement to be paid until 2000 for Mr. Sparkes.

(6) Mr. McLean joined the Company on October 30, 2000.

(7) Represents a one time employment bonus in the amount of $50,000 and relocation supplement of $19,167 for Mr. McLean.

(8) Mr. Dickhout resigned effective April 30, 2002. The amount shown in the table as "All Other Compensation" represents payments on termination of employment.

(9) Mr. Lan was President and Chief Operating Officer, Bakery Products Group, Maple Leaf Foods Inc. as well as Chairman of the Corporation for the period to April 30, 2002. At that time, Mr. Lan resigned as Chairman and was appointed President and CEO. The amounts shown in the table above reflect all compensation earned from the Corporation and from Maple Leaf Foods Inc. for the last three years. From January 1, 2002, to December 27, 2002 the Corporation, through cost sharing arrangements, bore 50% of the cost of the remuneration paid to Mr. Lan. Commencing on December 27, with the acquisition of all Maple Leaf Foods' non-Canadian baking operations, the Corporation assumed full responsibility for Mr. Lan's compensation. Mr. Lan is based in the U.S. and is paid in U.S. dollars. The 2002 compensation translated into Canadian dollars is: salary, $673,329; bonus, $531,209; and other annual compensation, $12,482. The amounts shown in the table for Mr. Lan in the column entitled "Other Annual Compensation" are contributions to the Maple Leaf Foods USA Inc. 401(k) defined contribution retirement arrangement.

(10) For the period April 19, 2002 to December 27, 2002 through cost sharing arrangements, 50% of Mr. MacFarlane's compensation was allocated to Maple Leaf Bakery Inc. for management services provided. During that time, Maple Leaf Bakery Inc. was a wholly-owned subsidiary of the Corporation's controlling shareholder. On December 27, Maple Leaf Bakery Inc. became a subsidiary of the Corporation.

(11) Mr. Ménard is an employee of Multi-Marques Inc. The amounts in the table above represent earnings after October 12, 2001, the date Multi-Marques Inc. became a subsidiary of the Corporation. The bonus shown represents the full amount for 2001 applicable under the Multi-Marques bonus plan and paid in 2002.

(12) The amount shown is a relocation allowance for $29,167 and a relocation supplement payment of $43,439 which is part of a three year commitment commencing June 2002.

MAPLE LEAF FOODS SHARE OPTIONS GRANTED IN 2002

Options for the Purchase of Common Shares of Maple Leaf Foods:

Name	Securities Under Options Granted	% of Total Options Granted to Employees in 2002	Exercise or Base Price	Market Value of Securities Underlying Options on the Date of Grant	Expiration Date
	(#)		*($/Security)*	*($/Security)*	
Lan, R.A.	80,000	16.8%	$14.74	$14.74	June 26, 2009
MacFarlane, D.J.	45,000	9.5%	$14.74	$14.74	June 26, 2009
McLean, C.B.	100,000	21.0%	$14.74	$14.74	June 26, 2009
Ménard, R.	15,000	3.2%	$14.74	$14.74	June 26, 2009
Sparkes, C.T.	45,000	9.5%	$14.74	$14.74	June 26, 2009

Note: The share options vest over five years based on the total return of the Maple Leaf Foods shares compared with the total return of the Standard & Poor's food group. The percentage of total options granted to employees in 2002 refers to employees of the Corporation.

AGGREGATE MAPLE LEAF FOODS STOCK OPTION EXERCISES IN 2002 AND FINANCIAL YEAR END OPTION VALUES

Options for the Purchase of Common Shares of Maple Leaf Foods:

Name	Securities Acquired on Exercise (#)	Aggregate Value Realized ($)	Unexercised Options at December 31, 2002 (#)		Value of Unexercised in-the-money Options at December 31, 2002(1) ($)	
			Exercisabe (vested)	Unexercisable (not vested)	Exercisable (vested)	Unexercisable (not vested)
Lan, R.A.	120,000	921,120	246,233	309,056	123,726	64,274
Dickhout, R.M.	53,958	270,047	–	–	–	–
MacFarlane, D.J.	–	–	40,083	136,917	30,561	15,189
McLean, C.B.	–	–	31,700	123,300	68,869	34,681
Ménard, R.	–	–	3,300	21,700	2,112	4,288
Sparkes, C.T.	15,300	74,799	40,776	75,476	9,400	9,650

Note: The closing price of common shares of Maple Leaf Foods on The Toronto Stock Exchange on the last trading day of the Corporation's financial year ended December 31, 2002 was $10.95.

PENSION/RETIREMENT PLANS

The Corporation, either directly or through designated subsidiaries, currently maintains a number of defined benefit and defined contribution pension plans for its employees.

Messrs. MacFarlane, McLean, and Sparkes are members of the Canada Bread Salaried Pension Plan. This plan was revised effective January 1st, 2000 for executives hired after 1998. Mr. Dickhout was a member of the Maple Leaf Foods Inc. pension plan. As noted in footnote 9 to the Summary Compensation Table, Mr. Lan participates in a defined contribution plan. Mr. Ménard is a member of the pension plan for managers of Multi-Marques Inc.

Specific information pertaining to both these Pension Plans is detailed below:

Canada Bread Company, Limited Salaried Pension Plan (Revised Formula) and Maple Leaf Foods Pension Plan

Remuneration	Years of Service				
	15	20	25	30	35
$125,000	33,475	44,633	55,792	66,950	78,108
$150,000	40,975	54,633	68,292	81,950	95,608
$175,000	48,475	64,633	80,792	96,950	113,108
$200,000	55,975	74,633	93,292	111,950	130,608
$225,000	63,475	84,633	105,792	126,950	148,108
$250,000	70,975	94,633	118,292	141,950	165,608
$300,000	85,975	114,633	143,292	171,950	200,608
$400,000	115,975	154,633	193,292	231,950	270,608
$500,000	145,975	194,633	243,292	291,950	340,608

The preceding table shows the estimated annual retirement income that would be payable if the officer retired as at December 31, 2002 at age 65. Remuneration (salary, excluding bonuses and other compensation) is calculated on the average of the best five years' earnings in the last ten years prior to retirement. Full benefits are payable at normal retirement age (age 65) or at age 60, the earliest age at which an officer can retire with an unreduced pension. Benefits are payable over the life of the executive with a guarantee of at least 60 monthly payments. Optional schedules of actuarially equivalent payments are available. Mr. McLean has 2.2 years of credited service and Mr. MacFarlane has 3 years of credited service under the above Canada Bread Company, Limited Salaried Pension Plan (Revised Formula). Mr. Dickhout had 3.4 years of credited service under the Maple Leaf Foods Pension Plan at the time of his resignation.

Canada Bread Company, Limited Salaried and Supplemental Executive Pension Plan (Prior Formula)

Final Average Earnings	Years of Service				
	15	20	25	30	35
$125,000	37,500	50,000	62,500	75,000	87,500
$150,000	45,000	60,000	75,000	90,000	105,000
$175,000	52,500	70,000	87,500	105,000	122,500
$200,000	60,000	80,000	100,000	120,000	140,000
$225,000	67,500	90,000	112,500	135,000	157,500
$250,000	75,000	100,000	125,000	150,000	175,000
$300,000	90,000	120,000	150,000	180,000	210,000
$400,000	120,000	160,000	200,000	240,000	280,000
$500,000	150,000	200,000	250,000	300,000	350,000

The preceding chart shows the estimated maximum annual retirement income that would be payable if the executive retired at December 31, 2002 at Normal Retirement Age at equivalent levels of average annual earnings. Upon retirement, this plan provides lifetime retirement income benefits to certain officers as designated by the Board of Directors, including certain of the Named Executive Officers, of up to 70% of their average annual compensation (defined as base salary during the best 60 consecutive months of employment). Full benefits are payable at age 60. The benefits are payable for the life of the executive, with a guarantee that at least 60 monthly payments will be made. Designated executives are not required to contribute in order to receive benefits. Payments from the plan are in addition to any other entitlement which an employee may be entitled to with respect to the Canada Pension Plan. Mr. MacFarlane has .8 years of credited service under this prior plan formula. Mr. Sparkes has 13 years of credited service.

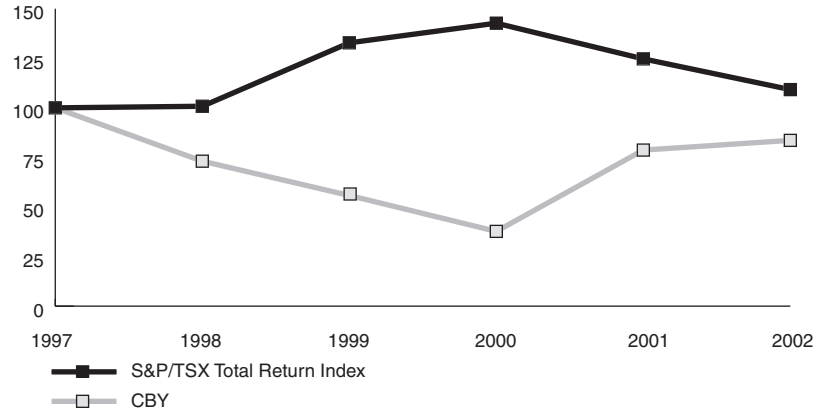
Multi-Marques Inc. Pension Plan Pension Arrangements

Final Average Earnings	Years of Service				
	15	20	25	30	35
$125,000	33,981	45,308	56,635	67,962	79,289
$150,000	41,481	55,308	69,135	82,962	96,789
$175,000	48,981	65,308	81,635	97,962	114,289
$200,000	56,481	75,308	94,135	112,962	131,789
$225,000	63,981	85,308	106,635	127,962	149,289
$250,000	71,481	95,308	119,135	142,962	166,789
$300,000	86,481	115,308	144,135	172,962	201,789
$400,000	116,481	155,308	194,135	232,962	271,789
$500,000	146,481	195,308	244,135	292,962	341,789

The preceding chart shows the estimated annual retirement income that would be payable if the executive retired at December 31, 2002 at age 65. The pension earned in respect of a particular year is based on the remuneration for that year. Each year the pension earned to date is increased in line with the increase in the average industrial wage index, to a maximum of 5%. Full benefits are payable at normal retirement age (age 65). Benefits are payable over the life of the executive with a guarantee of at least 60 monthly payments. Optional schedules of actuarially equivalent payments are available. Mr. Ménard has 3.3 years of credited service under the Multi-Marques Inc. Pension Plan.

Stock Performance Graph

The following chart compares the total cumulative shareholder return of $100 invested in Common Shares of the Corporation for the period December 31, 1997 to December 31, 2002 with the cumulative total return of the S&P/TSX Total Return Index for the same period. The Corporation's Common Shares closed at $22.50 on the TSX on December 31, 2002.



	1997	1998	1999	2000	2001	2002
S&P/TSX Total Return Index	100.0	100.8	132.8	142.7	124.7	109.2
CBY	100.0	73.1	55.8	37.7	78.7	83.6

Note: Dividends declared on Common Shares of the Corporation are assumed to be reinvested at the share price on the payment date. The S&P/TSX Total Return Index is the total index return, including reinvested dividends.

Statement of Corporate Governance Practices

This Statement of Corporate Governance Practices has been prepared by the Human Resources and Corporate Governance Committee ("Corporate Governance Committee") of the Board and has been approved by the Board of Directors.

Composition of the Board

The Board consists of nine members. The Corporate Governance Committee has evaluated the relationship between each director and the management of the Corporation and has concluded that more than a majority of directors are "unrelated" directors (i.e. a director who is free from any interest and any business or other relationship which could, or could reasonably be, perceived to materially interfere with the director's ability to act in the best interests of the Corporation, other than interests arising from shareholding). Approximately 44% of the directors are not related to either the Corporation or to its controlling shareholder, a number which exceeds the 27% of shares held by shareholders other than the controlling shareholder.

Mandate of the Board of Directors

The Board of Directors is responsible for the supervision of the management of the business and affairs of the Corporation acting with a view to the best interests of the Corporation. Generally, all material matters relating to the business of the Corporation require the prior approval of the Board. The Board's key responsibilities include the approval of corporate objectives and the oversight of processes for:

- strategic planning;
- the identification and management, to the extent possible, of the principal business risks;
- internal control and management information systems;
- succession planning; and
- maintaining effective communications with shareholders, stakeholders, and the public.

Committees of the Board

The Board of Directors discharges its responsibilities directly and through its committees, namely the Audit Committee and the Human Resources and Corporate Governance Committee. Only outside directors (i.e. directors who are not officers or employees of the Corporation or of any of its affiliates) are members of the committees of the Board and a majority of members of each of these committees are "unrelated" directors.

Human Resources and Corporate Governance Committee

The Human Resources and Corporate Governance Committee is responsible for developing and monitoring the Corporation's systems of compensation and corporate governance including:

- reviewing and developing the Corporation's compensation policies and processes to endeavor to ensure that employees of the Corporation will be fairly and competitively compensated;
- annually evaluate the performance of the Chief Executive Officer against predetermined goals and criteria and reviewing and approving the amount of compensation to be paid to the Chief Executive Officer;
- annually considering the Chief Executive Officer's evaluation of the performance of the other executive officers of the Corporation and recommendations with respect to the amount of compensation to be paid to such executive officers;
- assisting the Board of Directors in ensuring that appropriate human resource development, succession planning and performance evaluation programs are in place and are operating effectively;
- periodically reviewing the size, composition and performance of the Board;
- periodically reviewing the committee structure and all committee mandates;
- annually proposing the nominee for the Chair and members of each Committee; and
- satisfying itself that structures are in place to ensure effective communication between the Corporation, its stakeholders and the public.

Audit Committee

The Audit Committee is primarily responsible for overseeing the integrity of the Corporation's internal controls including:

- reviewing the Corporation's financial statements prior to their approval by the Board;
- establishing the objectives and scope of audits with the auditors of the Corporation;
- reviewing the findings of audits and assessing management's response thereto; and
- approving the fees of the external auditors.

Special Committee

On July 24, 2002, the Board of Directors appointed the Special Committee to evaluate the potential acquisition of Maple Leaf Bakeries from the Corporation's controlling shareholder, Maple Leaf Foods Inc. (the "Maple Leaf Bakeries Transaction"). The Committee's mandate was to conduct independent investigations and supervise due diligence, to negotiate the terms of the Maple Leaf Bakeries Transaction and to make recommendations to the Board of Directors with regard to the Maple Leaf Bakeries Transaction. The Special Committee consisted of John L. Bragg, Sarah A. Everett and Charles J. Mayer. No member of the Special Committee is an employee, an insider, an associate, an affiliate of, or an advisor to, Maple Leaf Foods or any of its associates or affiliates other than the Corporation, or has held any such position during the 12 month period preceding the date of the establishment of the Special Committee.

The Special Committee met on 12 occasions to discuss the Maple Leaf Bakeries Transaction and negotiated its terms. Legal counsel attended the meetings of the Special Committee and participated actively in reviewing and analyzing the proposed terms of the Maple Leaf Bakeries Transaction and in the negotiation sessions. The firm, Scotia Capital also assisted in this process in various regards, including visiting the sites of the Maple Leaf Bakeries facilities located in Roanoke, Virginia and Oxnard, California. On the recommendation of the Special Committee the full Board approved the Maple Leaf Bakeries Transaction subject to approval by the minority shareholders. On December 11, 2002 the minority shareholders voted 85% in favour of the transaction and the transaction was completed on December 27, 2002.

Relationship Between the Board and Management

The Board has a separate person serving as Chairman of the Board and Chief Executive Officer of the Corporation. In addition, the Board of Directors believes that structures are in place which assist the Board in acting independently of management.

The annual schedule of meetings for the Board and its Committees is prepared by the Chairman of the Board, after consultation with the Committee chairs, the CEO and other directors. The Chairman of the Board develops the agendas for Board meetings after consultation with the CEO and management; background information and reports pertaining to meeting agenda items are circulated to the directors in advance whenever practicable.

Directors have open access to senior management of the Corporation as appropriate. The Board also encourages individual directors to provide specific advice and counsel to management regarding matters in respect of which they have special knowledge and experience.

Board's Expectations of Management

Management is responsible for the development of operating company and overall corporate strategies on an ongoing basis. The Board expects management to keep strategic plans current by continually reviewing important issues and evaluating the competitiveness and positioning of the Corporation's business. The role of the Board is to ensure that a strategic planning process is in place, to review and approve strategies developed by management, and to monitor management's success in implementing the strategies.

Shareholder Communications

Management of the Corporation maintains communications with shareholders, stakeholders and the public on an ongoing basis under the supervision of the Board. Management also represents the Corporation in its communications with the investment community, the media, customers, suppliers, employees, governments and the general public. The Board of Directors, on the advice of the Human Resources and Corporate Governance Committee, adopted a detailed disclosure policy covering internal and external communications to ensure all investors have equal access to information. The Board approves the content of all major communications to shareholders and the investing public, including annual and interim financial statements, management information circulars, annual information forms and prospectuses. The Corporation attempts to consider and respond to all shareholder inquiries. Management provides from time to time, as appropriate, a report to the Board of significant comments which the Corporation receives from shareholders.

Frequency of Meetings and Attendance

The Board schedules six regular meetings, but holds other meetings as necessary. The committees meet as required to fulfill their responsibilities. The frequency of committee meetings and average attendance by directors in 2002 was:

	Number of Meetings	Attendance
Board of Directors	10	91%
Special Committee	12	100%
Audit Committee	4	100%
Human Resources and Corporate Governance Committee	4	92%
Total	30	94%

OTHER MATTERS

DIRECTORS' AND OFFICERS' LIABILITY INSURANCE

Directors' and officers' liability insurance has been arranged through the Corporation's controlling shareholder, Maple Leaf Foods, at an annual premium cost of $18,800 which was not allocated as between officers and directors. The insurance limit under the policy is $35,000,000 for each loss and each policy year with the Corporation subject to a $250,000 deductible provision. The directors and officers are not liable for any payment under a deductibility clause.

INTERESTS OF INSIDERS

Reference should be made to the heading "Voting Securities and Principal Holders Thereof " for details of Maple Leaf Foods' shareholdings in the Corporation. Messrs. Lan, G.W.F. McCain, J.S. McCain, M.H. McCain, and Muir are directors of the Corporation and are also officers and/or directors of Maple Leaf Foods (see "Election of Directors").

In August 1995, the Company entered into a Management and Affiliation Agreement and in October 1995, a Management Services Agreement effective January 1, 1996, with Maple Leaf Foods whereby the Company benefits from certain services provided by Maple Leaf Foods. These agreements were reviewed and approved by a committee composed of independent members of the Board of Directors. The cost of this service in 2002 was $4.5 million. The Company also receives certain information system services from Maple Leaf Foods the cost of which was $2.3 million in 2002.

GENERAL

Except where specifically stated, information contained herein, is given as of March 10, 2003.

ADDITIONAL INFORMATION

Additional documents, including copies of the most recent Annual Information Form (including any documents incorporated by reference therein) of the Corporation, the Annual Report including the audited financial statements of the Corporation for its most recently completed financial year, interim financial statements of the Corporation and the Management Information Circular of the Corporation in respect of its most recent annual meeting of shareholders, are available upon request from the Secretary, 10 Four Seasons Place, Etobicoke, Ontario M9B 6H7.

APPROVAL

The contents and the sending of this Management Information Circular have been approved by the directors of the Corporation.

DATED at Toronto, Canada this 10th day of March, 2003.



R. Cappuccitti
Secretary

SCHEDULE A

CANADA BREAD COMPANY, LIMITED
(THE "CORPORATION")

BY-LAW NUMBER 67

a by-law relating generally
to the transaction of the business and affairs
of the Corporation.

1 – INTERPRETATION

1.1 Definitions

In this by-law and all other by-laws of the Corporation:

(a) "the Act" means the Business Corporations Act, (Ontario) or any statute which may be substituted therefor, including the regulations thereunder, as amended from time to time;

(b) "articles" means the original or restated articles of incorporation, articles of amendment, articles of amalgamation, articles of continuance, articles of reorganization, articles of arrangement, articles of dissolution or articles of revival of the Corporation and includes any amendments thereto;

(c) "board" means the board of directors of the Corporation;

(d) "business day" means a day other than a "non-business day";

(e) "Corporation" means Canada Bread Company, Limited/Pain Canada Compagnie, Limitee;

(f) "meeting of shareholders" means an annual meeting of shareholders or a special meeting of shareholders;

(g) "non-business day" means Saturday, Sunday and any other day that is a holiday as defined in the Interpretation Act (Ontario);

(h) "officer" means any individual appointed as an officer by the board under the provisions of Section 6.1;

(i) "person" includes an individual, partnership, association, body corporate, trustee, executor, administrator or legal representative;

(j) words importing the singular number also include the plural and vice-versa; words importing the masculine gender include the feminine and neuter genders;

(k) subject to the foregoing, all words used in this by-law and defined in the Act shall have the meanings given to such words in the Act or in the related Parts thereof.

2 – GENERAL BUSINESS

2.1 Registered Office

Until changed in accordance with the Act, the registered office of the Corporation shall be in the province within Canada specified in the articles and at such place and address therein as the board may from time to time determine.

2.2 Corporate Seal

The Corporation may have a corporate seal which shall be adopted and may be changed by the board.

2.3 Financial Year

Until changed by the board, the financial year of the Corporation shall end on the 31st day of December in each year.

2.4 Execution of Instruments

The board shall from time to time direct the manner in which and the person or persons by whom any particular instrument or class of instruments may or shall be signed or executed on behalf of the Corporation. Notwithstanding the generality of the foregoing, the board may permit or direct that any instrument or document required or permitted to be executed by one or more persons may be executed in separate counterparts, each of which when duly executed by one or more of such persons, shall be an original and all such counterparts together shall constitute one and the same such instrument or document. Where appropriate such instruments may be executed under the corporate seal.

2.5 Authority to Act for Corporation

The board shall from time to time and on such terms and conditions as it may specify authorize any person or class of persons, for and on behalf of the Corporation:

(a) to make, enter into, execute and deliver any and all leases, extensions and renewals of leases, deeds, assignments, transfers, discharges, releases and main levees;

(b) to acquire, to dispose of or to take security upon any property whether real or personal, movable or immovable;

(c) to grant security on any property whether real or personal, movable or immovable;

(d) to surrender or release security upon any property whether real or personal, movable or immovable; and

(e) to do any one or more of the foregoing acts relating to any class of transactions or matters.

2.6 Delegation

Subject to the Act, the board may from time to time delegate to a director, a committee of directors or an officer of the Corporation or such other person or persons so designated by the board all or any of the powers conferred on the board by Section 3.1 or by the Act to such extent and in such manner as the board shall determine at the time of each such delegation.

3 – BORROWING AND BANKING

3.1 Borrowing

Without limit to the powers of the board as provided in the Act, the board may from time to time on behalf of the Corporation:

(a) borrow money upon the credit of the Corporation;

(b) issue, reissue, sell or pledge debt obligations of the Corporation;

(c) mortgage, hypothecate, pledge or otherwise create a security interest in all or any property of the Corporation, owned or subsequently acquired, to secure any obligation of the Corporation; and

(d) give, directly or indirectly, financial assistance to any person by means of a loan, or guarantee to secure the performance of an obligation or otherwise.

3.2 Banking Arrangements

The banking business of the Corporation, or of any part or division of the Corporation, shall be transacted with such bank, trust company or other firm or body corporate as the board may designate, appoint or authorize from time to time and all such banking business, or any part

thereof, shall be transacted on the Corporation's behalf by such one or more officers or other persons as the board may designate, direct or authorize from time to time and to the extent thereby provided. Notwithstanding the generality of the foregoing, the board may delegate to officers of the Corporation the authority to designate the employees, by name or by title, who may sign jointly, cheques or other instruments of payment of the Corporation.

4 – DIRECTORS

4.1 Duties of Directors

The board shall manage or supervise the management of, the business and affairs of the Corporation.

4.2 Quorum

Subject to the Act, a majority of the number of directors fixed or elected by shareholders from time to time shall constitute a quorum for the transaction of business. Notwithstanding vacancies, a quorum of directors may exercise all the powers of the board.

4.3 Meetings by Telephone, Electronic or other Communication Facility

Subject to the Act, if all of the directors of the Corporation consent, a director may participate in a meeting of directors or of a committee of directors by means of a telephonic, electronic or other communication facility that permits all participants to communicate adequately with each other during the meeting. Any such consent shall be effective whether given before or after the meeting to which it relates and may be given with respect to all meetings of the board held while a director holds office.

4.4 Place of Meetings

Meetings of the board may be held at the registered office of the Corporation or at any other place within or outside Ontario.

4.5 Calling of Meetings

Meetings of the board shall be held from time to time at such place, on such day and at such time as the board, the chairman of the board, the chief executive officer or any two directors may determine.

4.6 Notice of Meetings

Notice of the time and place of each meeting of the board shall be given in writing, including by electronic means or by facsimile, to each director not less than 48 hours, exclusive of non-business days, before the time when the meeting is to be held. To the extent feasible, the Notice of Meeting shall specify the business to be transacted at the meeting. A majority of the directors may determine that a matter may be dealt with at the meeting notwithstanding the failure to provide notice to directors in the manner specified in this Section 4.6.

4.7 First Meeting of New Board

Provided a quorum of directors is present, each newly elected board may without notice hold its first meeting following the meeting of shareholders at which such board is elected.

4.8 Votes to Govern

At all meetings of the board any question shall be decided by a majority of the votes cast on the question and in the case of an equality of votes the chairman of the meeting shall not be entitled to a second or casting vote. Any question at a meeting of the board shall be decided by a show of hands unless a ballot is required or demanded.

4.9 Conflict of Interest

A director or an officer of the Corporation who is a party to or is a director or officer of or has a material interest in any person who is a party to a material contract or material transaction or proposed material contract or proposed material transaction with the Corporation shall disclose the nature and extent of his interest in writing to the Corporation or request that such information be entered in minutes of meetings of the board in a manner specified by the board and such officer or director shall otherwise comply with the provisions of the Act.

For purposes of this Section 4.9, a "material contract" or "material transaction" is one that is material to the Corporation or is material to the director or officer.

5 – COMMITTEES

5.1 Committees of Directors

The board may appoint a committee or committees of directors, however designated, and, subject to the Act, may delegate to such committee or committees any of the powers of the board.

5.2 Procedure

Unless otherwise provided in the by-laws or determined by the board, each committee shall have the power to fix its quorum at not less than a majority of its members, to elect its chairman and to regulate its procedure. Unless otherwise determined by the board, the provisions of sections 4.3, 4.4, 4.5, 4.6 and 4.8 shall apply equally to meetings of each committee.

6 – OFFICERS

6.1 Appointment of Officers

Subject to Sections 6.2, 6.3 and 6.4 the board may from time to time appoint such officers as the board may determine. The board may specify the duties of and, in accordance with this by-law and subject to the provisions of the Act, delegate to such officers powers to manage the business and affairs of the Corporation.

6.2 Chairman of the Board

The board shall designate the Chairman of the Board from amongst the directors. The Chairman of the Board may also be the Chief Executive Officer.

6.3 Chief Executive Officer

The board shall designate a chief executive officer. The chief executive officer shall have general supervision of the business and affairs of the Corporation, subject to the direction of the board.

6.4 Secretary

The secretary shall attend and be the secretary of all meetings of the board and shareholders; shall give or cause to be given notice of such meetings; and shall be the custodian of the corporate seal and of the records and contracts, documents and other instruments of the Corporation except when some other person has been designated for that purpose by the board.

6.5 Term of Office

Every officer shall hold office at the pleasure of the board.

7 – PROTECTION OF DIRECTORS AND OFFICERS

7.1 Indemnity of Directors and Officers

(a) the Corporation shall indemnify a director or officer of the Corporation, a former director or officer of the Corporation or another individual who acts or acted at the Corporation's request as a director or officer or an individual acting in a similar capacity, of another entity against all costs, charges and expenses, including an amount paid to settle an action or satisfy a judgement, reasonably incurred by such individual in respect of any civil, criminal or administrative, investigative or other proceeding in which the individual is involved because of that association with the Corporation or other entity;

(b) the Corporation may advance moneys to such individual for the costs, charges and expenses of a proceeding referred to in (a) provided such individual agrees in advance, in writing, to repay the moneys if the individual does not fulfil the condition of paragraph (c);

(c) the Corporation may not indemnify an individual under paragraph (a) unless the individual:

(i) acted honestly and in good faith with a view to the best interests of the Corporation or other entity for which the individual acted as a director or officer or in a similar capacity at the Corporation's request, as the case may be; and

(ii) in the case of a criminal or administrative action or proceeding that is enforced by a monetary penalty, had reasonable grounds for believing that his or her conduct was lawful;

(d) the Corporation may also seek the approval of a court to indemnify an individual referred to in paragraph (a), or advance monies under paragraph (b) in respect of an action by or on behalf of the Corporation or other entity to procure a judgement in its favour, to which such individual is made a party because of the individual's association with the Corporation or other entity as described in paragraph (a) against all costs, charges and expenses reasonably incurred by the individual in connection with such action, if the individual fulfils the conditions set out in paragraph (c); and

(e) despite paragraph (a), an individual referred to in that paragraph is entitled to indemnity from the Corporation in respect of all costs, charges and expenses reasonably incurred by the individual in connection with the defence of any civil, criminal, administrative, investigative or other proceeding to which the individual is subject because of the individual's association with the Corporation or other entity as described in paragraph (a), if the individual seeking indemnity:

(i) was not adjudged by the court or other competent authority to have committed any fault or omitted to do anything that the individual ought to have done; and

(ii) fulfils the conditions set out in paragraph (c).

7.2 Insurance

The Corporation may purchase and maintain insurance for the benefit of an individual referred to in this Section 7 against any liability incurred by the individual:

(a) in the individual's capacity as a director or officer or former director or officer of the Corporation; or

(b) in the individual's capacity as a director or officer or former director or officer, or similar capacity, of another entity, if the individual acts or acted in that capacity at the Corporation's request.

8 – MEETINGS OF SHAREHOLDERS

8.1 Annual Meetings

Subject to the Act, the annual meeting of shareholders shall be held on such day and at such time in each year as the board may from time to time determine, for the purpose of considering the financial statements and reports required by the Act to be placed before the annual meeting, electing directors, appointing auditors and for the transaction of such other business as may properly be brought before the meeting.

8.2 Special Meetings

Subject to the Act, the board may at any time call a special meeting of shareholders to be held on such day and at such time as the board may determine for the purposes specified by the board and for the transaction of such other business as may be properly brought before the meeting.

8.3 Notice of Meeting

Notice of the time and place for holding a meeting of shareholders shall be given in the manner provided in Section 11.1 of this by-law not more than 50 days and not fewer than 21 days before the date of the meeting (or within such other time limits as may be prescribed by any other applicable statute or rule or regulation of a stock exchange) to each shareholder entitled to vote at the meeting, to each director and to the auditor of the Corporation.

8.4 Place of Meetings

Subject to the Act, meetings of shareholders shall be held at such place within Canada as the directors shall determine or at any place outside Canada that may be specified in the articles.

8.5 Participation in Meeting by Electronic Means

Subject to the Act, any person entitled to attend a meeting of shareholders may participate in the meeting, by telephonic or electronic means that permit all participants to communicate adequately with each other during the meeting. A person participating in a meeting by such means is deemed for the purposes of the Act to be present at the meeting.

8.6 Chairman and Secretary

The chairman of the board or, in the chairman's absence, the vice chairman, if any, or in the vice chairman's absence, the chief executive officer, or in the chief executive officer's absence, the president or in the president's absence, a vice-president shall be chairman of any meeting of shareholders and, if none of the said officers are present within 15 minutes after the time appointed for holding the meeting, the persons present and entitled to vote shall choose a chairman from amongst themselves. The secretary of the Corporation shall act as secretary at any meeting of shareholders or, if the secretary of the Corporation is absent, the chairman of the meeting shall appoint some person, who need not be a shareholder, to act as secretary of the meeting. If desired, one or more scrutineers, who need not be shareholders, may be appointed by the chairman with the consent of the meeting.

8.7 Persons Entitled to be Present

The only persons entitled to be present at a meeting of shareholders shall be those entitled to vote thereat, the directors and auditors of the Corporation and others who, although not entitled to vote, are entitled or required under any provision of the Act or the articles or by-laws to be present at the meeting. Any other person may be admitted only on the invitation of the chairman of the meeting or with the consent of the meeting.

8.8 Quorum

A quorum of shareholders is present at a meeting of shareholders irrespective of the number of persons actually present at the meeting, if the holders of at least one-third of the shares entitled to vote at the meeting are present in person or represented by proxy. A quorum need not be present throughout the meeting provided a quorum is present at the opening of the meeting.

8.9 Proxies and Representatives

A shareholder entitled to vote at a meeting of shareholders may by means of a proxy appoint a proxyholder or one or more alternate proxyholders, who are not required to be shareholders, to attend and act at the meeting in the manner and to the extent authorized by the proxy and with the power conferred by the proxy. Where a person holds shares as a personal representative, he or his proxyholder, upon filing with the secretary of the meeting sufficient proof of his appointment, shall be entitled to vote at all meetings of shareholders in respect of the shares so held by him.

8.10 Time for Deposit of Proxies

The board may specify in a notice calling a meeting of shareholders a time, preceding the time of such meeting by not more than 48 hours, exclusive of non-business days, before which time proxies to be used at such meeting must be deposited. A proxy shall be acted upon only if, prior to the time so specified, it shall have been deposited with the Corporation or an agent thereof specified in such notice or, if no such time is specified in such notice, it shall have been received by the secretary of the Corporation or by the chairman of the meeting or any adjournment thereof prior to the time of voting.

8.11 Voting

Subject to the Act, every matter at a meeting of shareholders shall be decided by a show of hands unless a ballot is required by the chairman or demanded by any person entitled to vote. Upon a show of hands every person entitled to vote shall have one vote. After a vote by a show of hands has been taken the chairman may still require or any person entitled to vote may still demand a ballot thereon. Whenever a vote by show of hands has been taken, unless a ballot is required or demanded, a declaration by the chairman of the meeting that the vote upon the matter has been carried or carried by a particular majority or not carried, and an entry to that effect in the minutes of the meeting, shall be, in the absence of evidence to the contrary, proof of the fact without proof of the number or proportion of the votes recorded in favour of or against any resolution.

Subject to the Act, any vote may be held entirely by telephonic, or electronic means. Subject to the Act, any person participating in a meeting of shareholders electronically and entitled to vote at the meeting may vote by telephonic or electronic means.

8.12 Casting Vote

In case of an equality of votes at any meeting of shareholders either upon a show of hands or upon a ballot, the chairman of the meeting shall not be entitled to a second or casting vote.

8.13 Ballots

On any question proposed for consideration at a meeting of shareholders, and whether or not a show of hands has been taken thereon, the chairman may require, or any shareholder or proxyholder entitled to vote at the meeting may demand, a ballot. A ballot so required or demanded shall be taken in such manner as the chairman shall direct. A requirement or demand for a ballot may be withdrawn at any time prior to the taking of the ballot. If a ballot is taken each person present shall be entitled, in respect of the shares which each person is entitled to vote at the meeting upon the question, to that number of votes provided by the Act or the articles, and the result of the ballot so taken shall be the decision of the shareholders upon the said question.

9 – SHARES

9.1 Securities Records

The Corporation shall maintain a register of shares and other securities in which it records the shares and other securities issued by it in registered form, showing with respect to each class or series of shares and other securities:

(a) the names, alphabetically arranged, and the latest known address of each person who is or has been a holder;

(b) the number of shares or other securities held by each holder; and

(c) the date and particulars of the issue and transfer of each share or other security.

9.2 Transfer Agent and Registrar

The board may appoint, remove or replace a transfer agent or a registrar and one or more branch transfer agents or registrars to maintain a central securities register and branch securities registers.

9.3 Registered Owner of Shares

Subject to the provisions of the Act, the Corporation may treat the registered owner of a share as the person exclusively entitled to vote, to receive notices, to receive any dividend or other payments in respect thereof and otherwise to exercise all the rights and powers of an owner of a share.

9.4 Share Certificates

Unless otherwise ordered by the board, any share certificates shall be signed by any director or officer of the Corporation and need not be under corporate seal. Signatures may be printed or otherwise mechanically reproduced on the share certificates and every such signature shall for all purposes be deemed to be the signature of the officer whose signature it reproduces and shall be binding upon the Corporation. Share certificates representing shares in respect of which a transfer agent has been appointed shall be countersigned manually by or on behalf of such transfer agent. If a share certificate contains a printed or mechanically reproduced signature of a person, the Corporation may issue the share certificate, notwithstanding that the person has ceased to be a director or an officer of the Corporation, and the share certificate is as valid as if the person were a director or an officer at the date of its issue.

10 – DIVIDENDS AND RIGHTS

10.1 Dividends

Subject to the provisions of the Act, the board may from time to time declare dividends payable to the shareholders according to their respective rights and interests in the Corporation. Dividends may be paid in money or property or by issuing fully paid shares of the Corporation.

10.2 Record Date for Dividends

The board may fix in advance a date, preceding the date for the payment of any dividend by not more than 50 days, for the determination of the persons entitled to receive payment of such dividend. Notice of such date shall be given not less than seven business days prior to such date by press release and by written notice to each stock exchange on which the shares of the Corporation are listed for trading.

10.3 Non-receipt of Payment

In the event of non-receipt or loss of any dividend payment by the person to whom it is sent, the Corporation shall issue to such person a replacement payment for a like amount on such terms as to indemnity, reimbursement of expenses and evidence of non-receipt and of title as the board may from time to time prescribe, whether generally or in any particular case.

10.4 Unclaimed Dividends

Any dividend unclaimed after a period of six years from the date on which the same has been declared to be payable shall be forfeited and shall revert to the Corporation.

11 – MISCELLANEOUS

11.1 Method of Giving Notices

Any notice or other document to be given or sent by the Corporation to a shareholder, director or officer or to the auditor of the Corporation may be given or sent by prepaid mail addressed to, or may be delivered personally to, the person to whom it is to be given or sent at his latest address as shown in the records of the Corporation or its transfer agent or in any notice filed in accordance with the provisions of the Act.

11.2 Waiver of Notice

Any shareholder (or such shareholder's duly appointed proxyholder), director, officer, auditor or member of a committee of the board may at any time waive the sending of any notice, or waive or abridge the time for any notice, required to be given to such person under any provision of the Act, the articles, the by-laws or otherwise and such waiver or abridgement shall cure any default in the giving or in the time of such notice, as the case may be. Any such waiver or abridgement shall be in writing except a waiver of notice of a meeting of shareholders or of the board which may be given in any manner. Attendance of a director at a meeting of directors or of a shareholder or any other person entitled to attend a meeting of shareholders is a waiver of notice of the meeting except where such director, shareholder or other person, as the case may be, attends a meeting for the express purpose of objecting to the transaction of any business on the grounds that the meeting is not lawfully called.

11.3 Omissions and Errors

The accidental omission to give notice to any shareholder, director or officer or to the auditor or the non-receipt of any notice or any error in a notice not affecting the substance thereof shall not invalidate any action taken at any meeting called by such notice or otherwise founded thereon. Any notice with respect to any shares registered in more than one name may, if more than one address appears on the books of the Corporation in respect of such joint holding, be given the joint shareholders at any such address.

11.4 Repeal

All previous by-laws of the Corporation and their provisions are repealed as of the coming into force of this By-law and all resolutions of the shareholders or of the Board with continuing effect passed under the provisions or authority of any repealed by-law shall continue to be valid except to the extent inconsistent with this By-law and until amended or repealed.